

Background to business-to-business financial services regime [¶32-300]

[¶32-300]

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Since 1 January 2005, registered suppliers of financial services have been able to elect that their business-to-business supplies of financial services are zero-rated if the customer is GST registered and makes taxable supplies of 75% or more of all total supplies. Such an election enables the suppliers to claim an input tax deduction on goods and services they buy. Usually financial services are exempt supplies for GST purposes, and the supplier is therefore not permitted to claim an input tax deduction for goods and services they buy. This concession is intended to provide relief from over-taxation for taxpayers who provide financial services and aims to encourage financial services providers to outsource essential activities, thereby improving the efficiency of resources.

The regime is discussed in *Tax Information Bulletin* [¶161-114 Vol 16, No 1](#), February 2004 at 26.

Last reviewed on 31 December 2025

Election to apply zero-rating under business-to-business regime for GST [¶32-310]

[¶32-310]

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Section [20F](#) states that a person may choose to zero-rate the business-to-business supply of financial services (eg dealing with money, certain securities or the provision of credits and loans). For taxable periods starting on or after 1 April 2025, the requirement to notify IR regarding this election has been removed. Registered person who have previously notified the Commissioner that they are applying s [20F](#) are able to continue to apply s [20F](#) because their election will remain valid.

Law: GST s [20F](#)

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Zero-rating under business-to-business regime for GST [¶32-320]

[¶32-320]

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Registered suppliers may zero-rate the supply of financial services if:

- # they choose to do so ([¶32-310](#)), and
- # the financial services are made to a registered person who makes taxable supplies of goods and services of at least 75% of the total value of the supplies made in a 12-month period that includes the taxable period (or a period acceptable to the Commissioner), or
- # the financial services are supplied to a person who is a member of a group of companies and the group makes taxable supplies of at least 75% of the total value of the supplies made in a 12-month period that includes the taxable period (or a period acceptable to the Commissioner) to persons who are not members of the group.

When establishing whether a person qualifies under the 75% test, all taxable supplies made by the recipient should be considered. However, the 75% taxable supply threshold excludes any business-to-business zero-rated supplies. When determining the level of business-to-business zero-rated supplies made by the recipient of the financial service, the supplier must use either actual figures or an estimate made by a method that has been approved by the Commissioner. The Commissioner has issued guidelines on this matter: see “GST guidelines for working with the new zero-rating rules for financial services”, *Tax Information Bulletin* [¶1610-106 Vol 16, No 10](#), November 2004 at 54.

Generally, the zero-rating of the supply of financial services cannot be applied to supplies made to registered persons who make exempt supplies of more than 25% of their total supplies or where the services are supplied to unregistered persons (or final consumers).

Law: GST ss [11A\(1\)\(g\)](#), [\(r\)](#), [\(6\)](#), [20E](#)

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Input tax credits under business-to-business regime for GST [¶32-330]

[¶32-330]

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No secondhand goods input tax credits are allowed for the purchase of certain goods where those goods are used to make zero-rated supplies of financial services. Generally, the prohibition applies to goods that have previously been owned or used by the financial services provider, or by a person associated with the financial services provider.

A person who makes a supply of financial services to another financial services supplier cannot usually zero-rate that supply. This is because of the requirement that the recipient makes at least 75% taxable supplies. However, special rules might apply to permit a “direct supplier deduction”. The supplier must satisfy the following criteria:

- # be a registered person
- # have elected into the business-to-business and direct supplier deduction regime, and
- # supply financial services to another supplier of financial services.

The rules allow a deduction for supplies to “each direct supplier”. Generally, the amount of the credit is the ratio of taxable to non-taxable supplies made by the recipient financial services provider. The ratio is applied to the input tax credit that would be allowed to the first supplier if all of the supplies of financial services were taxable supplies. A formula is provided for the calculation in s [20C](#). The total value of the recipient financial services provider’s taxable and non-taxable supplies is determined by the GST return that person has filed (ie the actual figures as shown in the recipient’s return). The formula is intended to allow a deduction to the supplier to reflect the level of taxable supplies made by the recipient.

It is important to note that the recipient must not be solely in the business of supplying financial services to other financial institutions. For example, if a financial broker supplies financial services to a financial institution that in turn only makes supplies to other financial institutions, the broker cannot claim a direct supplier deduction. However, the deduction can apply if the broker makes a supply to a financial institution that makes supplies of financial services to non-financial institutions.

For more detail on the workings of the formula, see *Tax Information Bulletin* [¶171-143 Vol 17, No 1](#), February 2005 at 83 and [¶2210-110 Vol 22, No 10](#), November 2010 at 85.

Law: GST ss [3A\(2\)\(c\)](#), [20\(3\)\(h\)](#), [20C](#), [20D](#)

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Value of supply under business-to-business regime for GST [¶32-340]

[¶32-340]

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A special value of supply rule may apply to the supply of a financial service that is zero rated or if the provider of the financial service claims an input tax credit for a financial service supplied to another financial services provider ([¶32-330](#)). In either of these cases, the value of the supply is its open market value if:

- # the supply is made for more than the open market value, and
- # the supplier and the recipient are associated persons.

This is an anti-avoidance measure to stop any over-valuation of supplies of financial services made between associated persons.

Law: GST s [10\(3B\)](#)

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